

rites limited

SCHEDULE OF POWERS (SOP-2025)

RITES/SOP/2025 | EFFECTIVE FROM 1st July 2025

Transforming to GREEN - Think before you print!

GUIDELINES FOR EXERCISE OF POWERS

1. Schedule of Powers should be considered as a sacrosanct document designed to confer organizational dynamism through quick decision-making process. It should be clearly understood along with delegation of powers, there is accountability also at every level.
2. While exercising these powers, safeguarding the interest of the Company is more important than simple observance of rules and procedures.
3. Exercise of powers shall be subject to observance of relevant policies, rules and regulations of the Company and principles of financial propriety.
4. The powers delegated to an executive can be exercised by the executive above his level.
5. Where a financial limit has been prescribed, this shall mean up to and including that amount per case except where annual limit has been indicated. The approving authority shall ensure that annual limits are not exceeded, and details are kept of the same. Financial limit as defined under various clauses of SOP will be exclusive of GST. Hence, powers of SOP in various items of SOP shall be construed as without GST.
6. It should be ensured that the powers mentioned herein are viewed in their correct perspective and exercised judiciously by the officers concerned. The sanctioning authorities shall pay due regard to the Canons of Financial propriety.
7. Minimum level of Finance Officer for financial concurrence shall be up to two grades / scales lower than approving authority as given in SOP. Wherever officer of that level is not available (for Project & Inspection Offices), finance concurrence can be by an officer of the Sr. Manager level at least. Financial concurrence for all proposals requiring Director(s)/ CMD's approval should be routed through an officer of at least SUB-Unit Head rank in Finance Department.
8. MoU and contracts should be as per standard format to be issued by Legal Department. In case of deviation, clearance from Legal Department and concerned Director is required. All cases of dispute, litigation and arbitration must be informed to Legal Department.
9. Procedure for tender evaluation and decision - Tender Committee recommendations would be put by the Tender Committee to Tender Accepting Authority directly. In cases where CMD is Tender Accepting Authority, Tender Committee recommendations should be routed through concerned Director and Director Finance.
10. Wherever, there is no specific mention regarding Annual Ceiling etc. powers are to be construed as for Each Case.

11. Bills of suppliers/contractors are to be passed and sent to Finance by the officer who has powers to approve the expenditure as per SOP, subject to maximum PU / SUB Unit/ RIO Heads Head. In case of Corporate & CSR expenditure approval of concerned SBU head is required.
12. PU / SUB Unit / RIO Heads Head shall advise for raising Invoice / Bill to client. Invoice / Bill shall be signed by a Finance Officer not below the level of DGM.
13. Wherever there is a change in SOP w.r.t. earlier SOP, the revised SOP shall prevail including for cases in process at various stages.
14. Directors will have full powers for addressing routine / day-to-day issues & activities, though not specifically covered in SOP and revision of various policies / procedures / guidelines for their respective area to the extent these are not contradictory to any policies/procedures / guidelines approved by CMD / Board / Government.
15. In case of contradiction in powers of SOP and provisions contained in various policies / procedures / guidelines of the Company, SOP shall prevail.
16. Where specific powers are not indicated for abroad / overseas projects, powers in SOP shall apply for abroad overseas projects also. Powers indicated in INR shall be converted @ 1 USD = Rs. 85 wherever they are being operated in Foreign Currency.
17. Powers in SOP shall be exercised considering various policies / guidelines issued by Government/company from time to time.
18. In case of issue of any orders / notifications / circulars with the approval of CMD having effect on SOP, the same will be effective till the time Amendment to SOP is issued incorporating the same.

19. Organization Units and Designation Hierarchy Mapping

Delegation at various levels is exercised by officers across designated organizational divisions, verticals, regions, units, and sub-units. Key units include: UI, ERPO, ECRPO, PU Kolkata, PU Ranchi, NRPO, PU Bhubaneswar, Highways, CVO, NERPO, PU Bilaspur, RES, SRPO, PU Delhi, WRPO, PU Lucknow, Expotech, QA, PU Guwahati, CPO, PU Bengaluru, Finance, PU Secunderabad, MS, PU Mumbai, Vigilance, PU Ahmedabad, CS, SUB T&E, Metro, S&CC, and specialized SUB-Units (Airport, Building, Port, CEDS, UE&GM, Metro, RP, RE, Sustainability, Highway, Ropeway, Estate, AIM, IT, HR, Admin), alongside Regional Inspection Offices (RIO) in Kolkata, Bhilai, Mumbai, Chennai, and Delhi.

SUMMARY SCHEDULE OF DELEGATED POWERS (CONTRACTS & PURCHASES)

Item / Clause	Directors	Vertical Head	Regional Head	PU/SUB/RIO Head	Key Constraints / Remarks
1.1 Projects in India: Consultancy Bids	Full Powers	Full Powers	Upto Rs. 30 Cr	Upto Rs. 50 Lakhs	Operating ratio (OR) should not exceed 85%. Normalization guidelines per Annexure-G apply.
1.1 EPC/Turnkey/Supply (India)	Full Powers	Upto Rs. 100 Cr	Upto Rs. 15 Cr	Nil	Offers with OR > 85% require Director approval. Negotiation requires rank of GM & above.

Item / Clause	Directors	Vertical Head	Regional Head	PU/SUB/RIO Head	Key Constraints / Remarks
1.2 Post Award - Input Estimates (India)	Full Powers	Full Powers	Upto Rs. 10 Cr	Upto Rs. 5 Cr	With Finance concurrence. Requires Director approval if OR exceeds 85%.
2.1 Approval of Detailed Estimates	Upto Rs. 100 Cr	Upto Rs. 50 Cr	Upto Rs. 30 Cr	Upto Rs. 20 Cr	With Finance vetting for estimates > Rs. 10 Lakhs. 1/7th power rule applies to consultancy/vehicles.
5.1 Procurement from Govt / Railway Workshops / PSUs	Upto Rs. 150 Cr	Upto Rs. 100 Cr	Upto Rs. 75 Cr	Upto Rs. 30 Cr	Includes authorization for payment of advance, if any.
6.3 Single Tenders (Sanction Limit)	No Limit	Upto Rs. 10 Cr	Upto Rs. 10 Cr	Upto Rs. 10 Cr	Subject to strict conditions in Annexure-B. Cases up to Rs. 25 Lakhs don't require TC for proprietary items.
10.2 Office Equipment, IT Hardware, Spares / Stores	Upto Rs. 5 Cr	Upto Rs. 25 Lakhs	Upto Rs. 5 Lakhs	Upto Rs. 3 Lakhs	Emergency purchases via committee (Executive DGM + Finance Sr. Manager minimum).
11.2 Vehicle Hiring for Project Work	Full Powers	Full Powers	Full Powers	1 vehicle per project	Hiring for non-project requirements strictly requires prior Vertical Head approval.
11.4.1 specialized Work on Nomination Basis (Firms)	Upto Rs. 3 Cr	Upto Rs. 25 Lakhs	Upto Rs. 10 Lakhs	Upto Rs. 3 Lakhs	Limited to specialized activities (BD/Corporate). In-house capability check applies.

ANNEXURE "A" - Standard Purchase Order / Tender Conditions

Incorporates standardized corporate criteria for commercial contracts, including option-based payment terms:

- Option (a): 100% against receipt of material.
- Option (b): Maximum 10% advance against Proforma Invoice and Bank Guarantee with balance on receipt.
- Option (c): Standard terms of Railway Production/Manufacturing Units.

Mandatory standard clauses include: Point of Delivery, Consignee, Delivery Period, Taxes & Duties, Inspection, Packing, Warrantee/Guarantee, Liquidated Damages, and Letter of Award (LOA) Acceptance.

ANNEXURE "B" - Single Tender Procedures & Criteria

Prior administrative approval and finance concurrence are mandatory before calling single tenders. One of the following criteria must be met:

1. Emergent situations (accidents, force majeure) disrupting essential services.
2. specialized technical services/procurements where only a single source exists.
3. Lack of bids after repeating open/limited competitive tenders a minimum of two times.
4. Certified proprietary items where no functional alternative is manufactured.

Note: Tight deadlines or general urgency are explicitly barred from being used as validation for single tenders. Tender committees are completely dispensed with for proprietary items below Rs. 25 Lakhs.

ANNEXURE "C" - Guidelines for Calling and Accepting Quotations

Quotations are used for immediate/small requirements exceeding Rs. 50,000 up to standard tender thresholds (items below Rs. 50,000 can be directly purchased without quotes). Splitting work values to fit quotation bounds is strictly illegal. A minimum of three sealed quotations from verified, reputable parties must be invited via Speed Post or registered tracking courier. Deviations in BOQ quantities post-award require an in-principle approval and are systematically heavily structured—payment for excess quantities is capped exactly at 97% of the original awarded BOQ rate.

ANNEXURE "D" - Approved Government Institutions List

ITES maintains a registered whitelist of 67 designated government scientific labs, educational centers, and technical bodies authorized for direct specialized engagement. Key inclusions are: All IITs / IIMs, CSMRS Delhi, NIRM Bangalore, NGRI Hyderabad, CWPRS Pune, CRRRI Delhi, CBRI Roorkee, ISM Dhanbad, Geological Survey of India (GSI), Survey of India, NIO Goa, SERC Chennai, IISc Bangalore, SPA New Delhi, CEPT University, DTU Delhi, and all NITs.

ANNEXURE "E" - Revenue Write-off Proposal Framework

Detailed metrics are mandated when putting forward debt/outstanding write-offs to finance, requiring robust proof that:

- Client has formally rejected part/all of a milestone invoice due to specific localized delivery disputes.

- Recoverable value is so small that prolonged administrative trace costs exceed the recovery value.
- Claims have expired under legal limitation caps (Limitation Act) because no timely arbitration or legal filing was initiated, or records have become entirely untraceable due to historic office shifts or personnel demises.

ANNEXURE "F" - Corporate Finance Concurrence Cell Rules

Proposals requiring approval from a Vertical Head or higher under critical SOP criteria (such as Pre-bid validation for EPC cases, consultancy bids with RITES share > Rs. 30 Crore, international supply bids > Rs. 5 Crore, or post-award input estimates) must route directly through the Corporate Concurrence Cell. Routine items are handled locally via decentralized Associate Finance rules.

ANNEXURE "G" - Normalization of Expenditure Rules

Establishes calculations for overhead and operating ratios (OR) for estimates in India/Abroad:

- Standard normalization strips down exceptional expenditure on materials or external outsourcing to exactly 10% of its raw volume for computing overhead margins.
- For large-scale Turnkey projects, only 1% of the value of work outsourced to third parties is parsed as normalized expenditure.
- For JV/Consortium agreements where billing is fully routed via RITES, 1% of the partner's share of invoices is treated as normalized expenditure.